



LIFE ASSURANCE SECTOR REPORT



For the Quarter ended
31 March 2022

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- ii. The Commission does not accept any liability, if this report is used for any other purposes other than the above-mentioned intended purpose.
- iii. This report relates to Life Assurance business and Life Reassurance business written by life assurers.
- iv. Please Note: All Monetary Figures are in ZWL\$ except where stated.
- v. All amounts in this report are in nominal terms and in ZWL\$000, except were specifically stated to be in real terms.

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Abbreviations

GPW	Gross Premium Written
IPEC	Insurance and Pensions Commission
MCR	Minimum Capital Requirement
PA Insurance Act (Chapter 24:07)	Prescribed Assets as defined by the
S.I	Statutory Instrument
TCF	Treating Customers Fairly
ZICARP Programme	Zimbabwe Integrated Capital and Risk

1. Executive Summary

- 1.1 For the quarter ended 31 March 2022, the Life Assurance Sector was made up of 12 direct life assurance companies, 4 composite reinsurance companies and 1 382 agents.
- 1.2 For the quarter ended 31 March 2022, the Life Assurance industry reported gross premium written (GPW) of ZW\$6.47 billion, representing a nominal increase of 89% from ZWL\$3.42 billion reported in the comparative period in 2021. The growth in GPW was 10% in real terms.
- 1.3 Growth in GPW was mainly attributable to premium increases in response the rise in inflation. The two classes which mostly contributed to this significant increase in premiums are funeral and whole life business classes.
- 1.4 GPW for life re-assurers grew by 316% in nominal terms from ZW\$64.1 million reported for the quarter ended 31 March 2021 to ZW\$266.67 million for the quarter ended 31 March 2022.
- 1.5 In real terms growth in GPW for life re-assurers was 141% from ZW\$64.1million reported for the quarter ended 31 March 2021 to ZW\$154.4 million for the quarter ended 31 March 2022.
- 1.6 For the quarter ended 31 March 2022 the Life Assurance industry reported foreign currency business amounting to USD\$3,700,994.21. The foreign currency business was mainly written from funeral assurance business where one player wrote 48% of the industry's total foreign currency business for the period.
- 1.7 The Life Reassurance companies reported foreign currency business amounting to USD\$551,518.07 for the quarter ended 31 March 2022.
- 1.8 All eleven (11) life assurance companies which submitted their returns and all the four (4) life reinsurance companies, reported capital positions which were compliant with the prescribed minimum capital requirements of ZW\$75 million and ZW\$112.5 million, respectively as at 31 March 2022.

- 1.9 The capital positions were, however, based on unaudited returns, with no adjustments made for inadmissible assets as required by Statutory Instrument 95 of 2017.
- 1.10 It is a requirement and important that every player holds adequate capital to increase resilience in times of bad claims experience and economic shocks.
- 1.11 As at 31 March 2022, direct life assurers reported 27% nominal growth in total assets from ZW\$90.08billion as at 31 December 2021 to ZWL\$114.19 billion as at 31 March 2022.
- 1.12 Growth in assets was mainly attributed to strong performance by equity investments on the Zimbabwe Stock Exchange and revaluation gains derived from the investment properties.
- 1.13 The asset base for composite re-assurers grew by 24% from ZW\$3.69 billion as at 31 December 2021 to ZWL\$4.58 billion as at 31 March 2022.
- 1.14 As at 31 March 2022, the average prescribed asset ratio for life assurers and life re-assurers stood at 3.60% and 7.71% respectively.
- 1.15 Nine (9) out of the eleven (11) direct life assurance companies that submitted their returns, and three (3) life reinsurance companies were not compliant with the minimum prescribed asset ratio of 15%.
- 1.16 For the quarter ended 31 March 2022, the Life Assurance sector reported nominal profit after tax of ZW\$4.88 billion, a 5% decrease from ZWL\$5.1 billion reported for the comparative period of 2021.
- 1.17 After-tax profit for life re-assurers increased by 549% from ZW\$30.7 million reported for the quarter ended 31 March 2021 to ZW\$199.11 million for the quarter ended 31 March 2022.
- 1.18 In real terms, profit after tax for the Life Assurance and Life Re-assurance sectors decreased by 45% and increased by 276% respectively.
- 1.19 The decrease in profit after tax for the life assurance is mainly driven by increase in policyholder liability reserves, and the increase in profit after tax on the Life Reassurance sectors is mainly attributed to high investment returns from revaluation gains on equity investments.

Table 1 Summary of Key Financial Indicators.

Life Assurance				
Financial Aspect (ZW\$000)	Mar-21	Mar-22	Mar- 22 Inflation-adjusted	Growth Inflation-adjusted
GWP	3,420,252	6,471,539	3,747,272	10%
NWP	3,359,847	6,291,802	3,643,197	8%
Claims	3,189,072	2,369,891	1,372,259	-57%
Management Operating Expenses	723,935	2,679,940	1,551,789	114%
Commissions	176,655	473,131	273,961	55%
Technical Costs	4,089,662	5,522,962	3,198,009	-22%
Profit after Tax	5,136,437	4,880,902	2,826,232	-45%
Financial Aspect	Dec-21	Mar-22	Growth (%)	
Total Assets	90,088,532	114,140,608	27%	
Total Liabilities	44,161,078	48,385,332	10%	
Capital	45,927,455	65,755,276	43%	
Capital to Liability Ratio	104%	136%	31%	
Prescribed Assets	3,140,646	4,110,679	31%	
PA Ratio (%)	3.49%	3.60%	3%	

Life Reassurance				
Financial Aspect (ZW\$000)	Mar-21	Mar-22	Mar- 22 inflation-adjusted	Growth Inflation-adjusted
GWP	64,136	266,670	154,412	141%
NWP	48,380	246,697	142,847	195%
Claims	46,064	62,981	36,468	-21%
Management Operating Expenses	7,042	23,251	13,463	91%
Commissions	9,706	42,790	24,777	155%
Technical Costs	62,812	129,022	74,709	19%
Profit after Tax	130,776	199,106	115,290	-12%
Financial Aspect	Dec-21	Mar-22	Growth (%)	
Total Assets	3,688,006	4,582,376	24%	
Total Liabilities	1,452,079	1,880,634	30%	
Capital	2,235,927	2,701,743	21%	
Capital to Liability Ratio	154%	144%	-7%	
Prescribed Assets	58,136	353,152	507%	
PA Ratio (%)	2.00%	7.71%	285.34%	

2 The Insurance and Pensions Commission at Glance

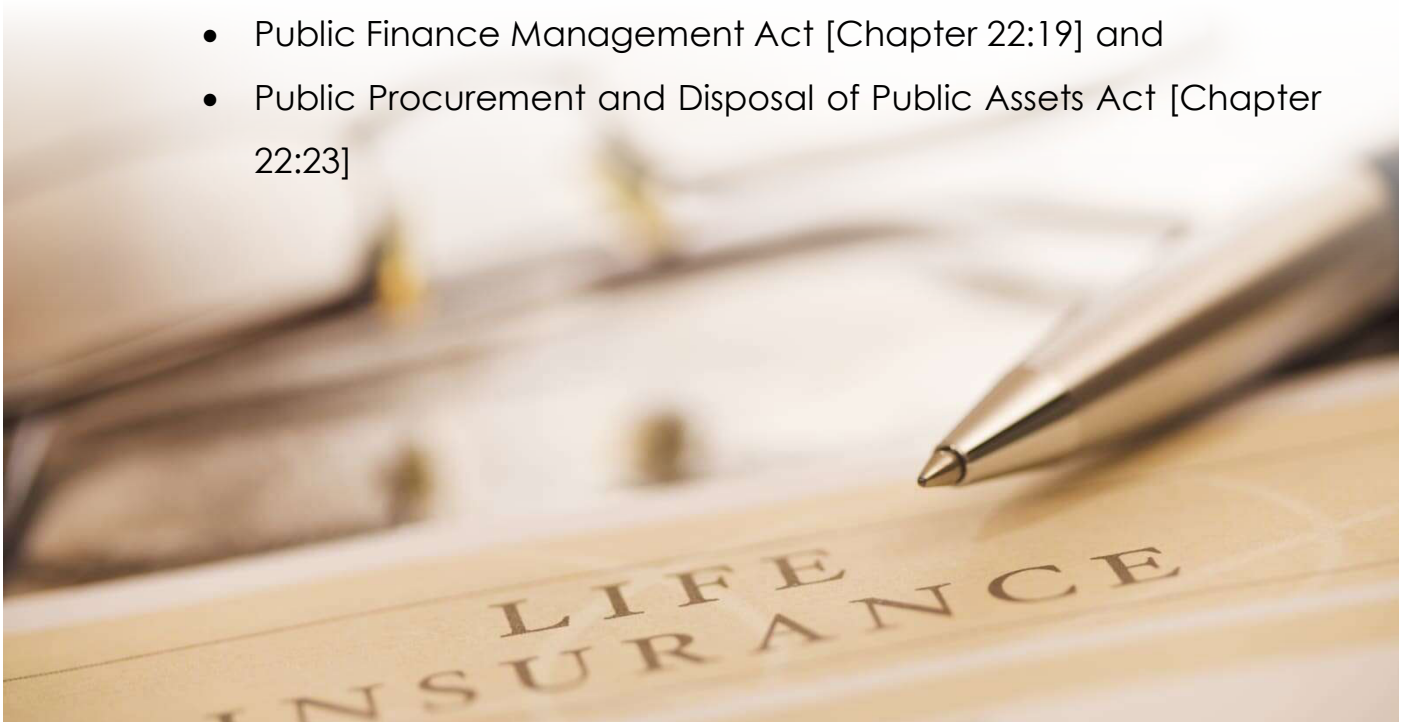
2.1 The Insurance and Pensions Commission (IPEC) is a statutory body mandated to regulate, supervise and develop the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe.

2.2 This Report outlines industry developments and IPEC's various activities in the Insurance industry consistent with its statutory mandate for the quarter ended 31 March 2022.

3 Terms of Reference

3.1 The activities of the Commission are guided by the following Acts and their regulations:

- Insurance and Pensions Commission Act [Chapter 24:21]
- Pensions and Provident Funds Act [Chapter 24:09]
- Insurance Act [Chapter 24:07]
- Money Laundering and Proceeds of Crime Act [Chapter 09:24]
- Finance Act [Chapter 23:04]
- Public Entities and Corporate Governance Act [Chapter 10:31]
- Public Finance Management Act [Chapter 22:19] and
- Public Procurement and Disposal of Public Assets Act [Chapter 22:23]



4 ECONOMIC DEVELOPMENTS

4.1. Global and Regional Economic Outlook

Global economic growth is projected at 3.6% in 2022, from 6.1% in 2021 (IMF, 2022), undermined by supply chain disruptions and economic fragmentation emanating from the conflict between Russia and Ukraine. Table 1 summarises the global economic outlook projections.

Table 2: World Economic Outlook Projections (%).

	2021	2022	2023
World Output	6.1	3.6	3.6
Advanced Economies	5.2	3.3	2.4
USA	5.7	3.7	2.6
Euro Area	5.3	2.8	2.3
Emerging Markets and Developing Economies	6.8	3.8	4.4
China	8.1	4.4	5.1
Sub-Saharan Africa	4.5	3.8	4.0
Nigeria	3.6	3.4	3.1
South Africa	4.9	1.9	1.4
Zimbabwe	6.3	3.5	3.0

Source: April 2022 World Economic Outlook Update, IMF Projections

Similarly, growth in sub-Saharan Africa is projected to contract to 3.8% in 2022 and 4% in 2023, from 4.5% in 2021, due to climate shocks and tightening of global financial conditions arising from the war in Ukraine.

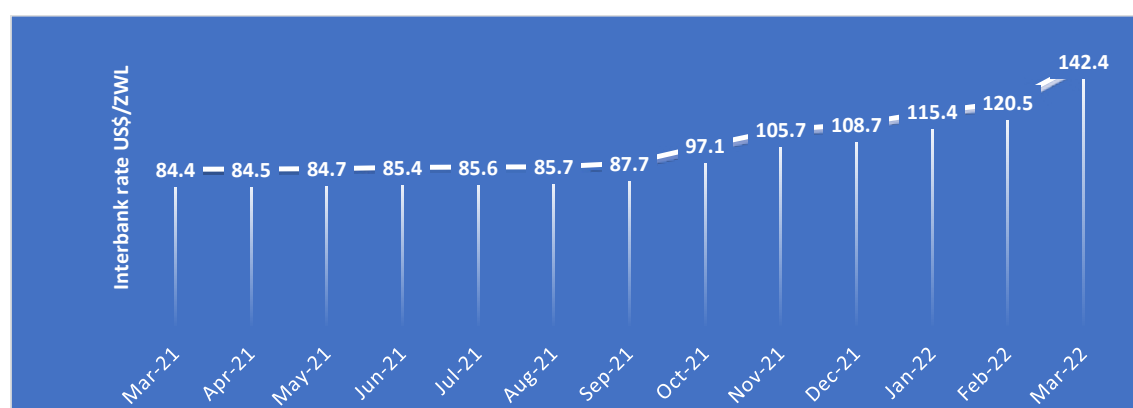
4.2 Domestic Economic Outlook

The economy is expected to grow by 5.5% in 2022 from 7.8% in 2021 (Ministry of Finance and Economic Development, 2021). Notwithstanding the subdued forecast, growth will be anchored on a pick-up in mining and buoyant construction. The International Monetary Fund, however, forecasts a lower economic growth rate of 3.5% in 2022 and 3% in 2023.

4.3 Exchange Rate Developments

The Zimbabwe dollar (ZW\$) depreciated against the US dollar, shedding 31%, from US\$1: ZW\$108.7 recorded at the end of the fourth quarter of 2021 to US\$1: ZW\$142.4, registered at the end of the quarter under review. The local currency depreciation was mainly driven by the speculative behaviour of economic agents. The developments in exchange rate are shown in Figure 1.

Figure 1: Interbank Exchange Rate March 2021 to March 2022 (US\$/ZW\$) – End of Period

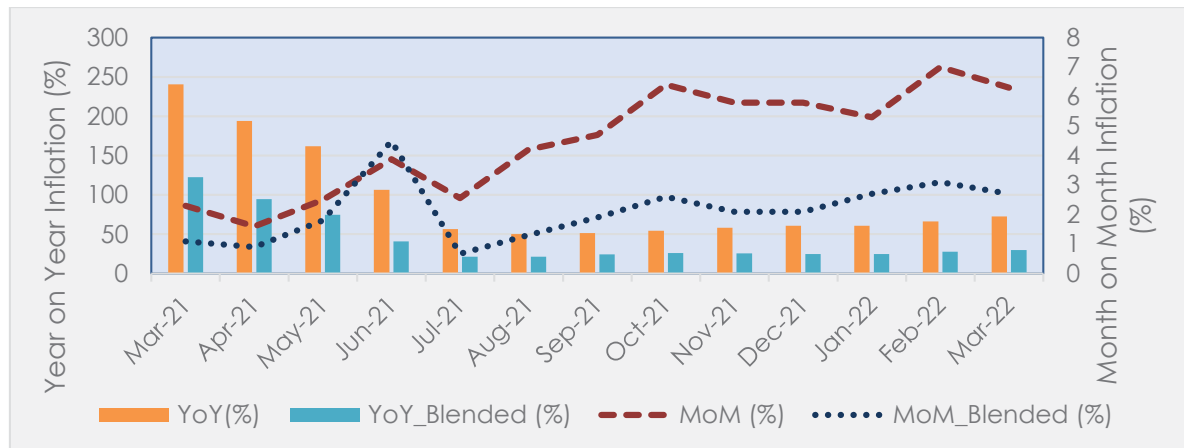


Source: Reserve Bank of Zimbabwe

4.4 Inflation Developments

The annual inflation rate rose to 72.7% in March 2022, from 60.7% recorded as at 31 December 2021. The upward trend was partly driven by increased fuel and food costs owing to the Russia and Ukraine war, and foreign exchange rate volatility, following the widening gap between the auction and parallel market rates. The month-on-month inflation stood at 6.3% as at 31 March 2022, up from 5.8% recorded as at 31 December 2021. Figure 2 illustrates the inflation trend from March 2021 to March 2022.

Figure 2: Inflation profile (%), March 2021 to March 2022



Source: Zimbabwe National Statistics Agency

4.5 Zimbabwe Stock Exchange Performance

During the quarter under review, the Zimbabwe Stock Exchange maintained positive momentum, resulting in the All-Share Index, Top 10 index, and Medium Cap index gaining 44%, 51%, and 26% respectively. The local bourse added 47% worth of capitalisation, from the previous quarter's value of ZW\$1.32 trillion to ZW\$1.94 trillion. The gains in the stock market are attributed to a combination of inflation, the good financial performance of underlying companies, and the growing appetite for equities as a value-preserving asset. Table 2 shows the quarterly change in the key stock market indicators.

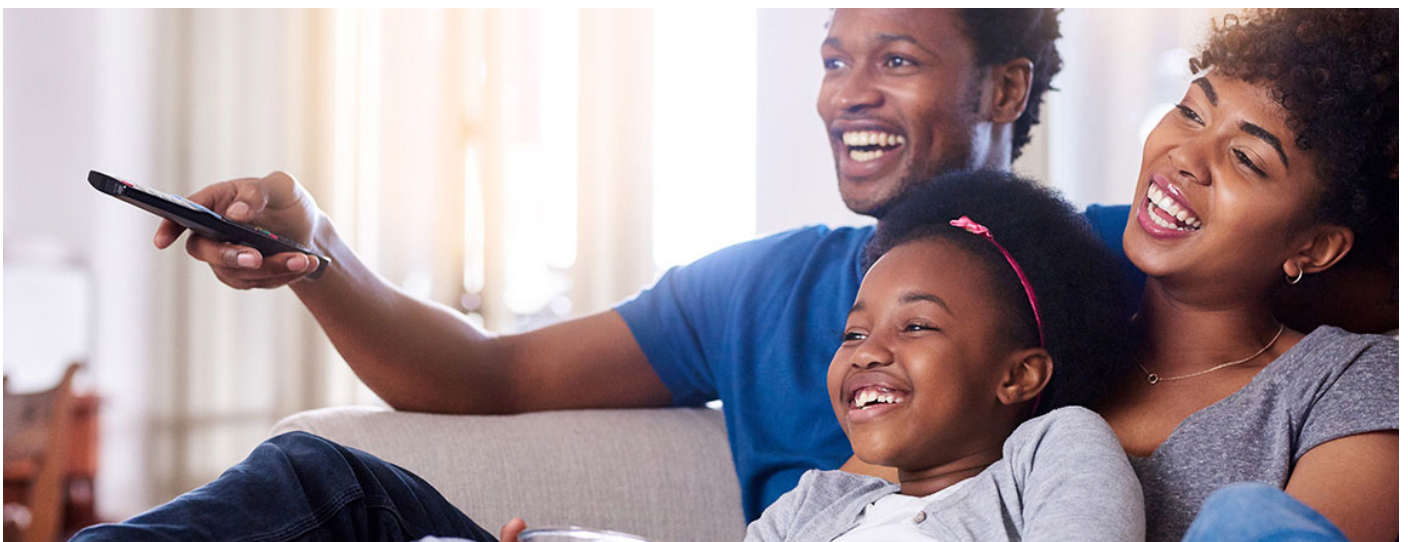


Table 3: Changes in the Key Stock Market Indicators

ZSE Indicator	Dec-2021	Mar-2022	Change (%)
All share index (points)	10, 822.4	15, 581.9	44
Top 10 Index (points)	6, 811.4	10, 296.7	51
Medium Cap Index (points)	20, 407.3	25, 692.6	26
Small Cap Index (points)	402,753. 1	399,696. 2	- 0.8
Market Capitalisation (ZW\$ billion)	1, 317.2	1, 935.2	47
Shares traded (million)	26.8	30.3	13
Market turnover (ZW\$ mil)	831.6	2, 189.5	16 3

Source: Zimbabwe Stock Exchange

Victoria Falls Stock Exchange (VFEX) Performance

VFEX ended the quarter with a total turnover amounting to US\$5.3 million, compared to US\$114, 544.74 recorded in the fourth quarter of 2021. However, market capitalisation declined in the quarter by 2.35% to US\$253.7 million.

4.6 Money Market Developments

Savings Deposit Rates

The annual inflation rate continues to be higher than the average savings deposit rates which were below 20% during the quarter, against an inflation rate of 72.7%. This implies that the real returns on money market investments remain negative thereby discouraging long-term savings.

4.7 COVID-19 Updates

The world Covid-19 cumulative cases reached 479.3 million at the end of March 2022, indicating a 72% increase from 278.9 million cases confirmed at the end of December 2021. Pandemic-related deaths also increased from 5.4 million to 6.1 cases (WHO, 2021). The resurgences of Covid-19 and lockdowns in several Chinese cities are of concern.

The total Covid-19 cases in Zimbabwe increased from 213, 258 as at 31 December 2021 to 246, 286 recorded as at 31 March 2022. The recovery rate also improved from 85% to 96% over the same period. The Covid-19 related deaths also increased from 5, 004 to 5, 444 cases. As at 31 March 2022, a total of 3, 529, 646 people had received their second dose.

4.8 Covid-19 Impact on Insurance and Pensions Industry

The Covid-19 pandemic provided impetus for insurance companies to increasingly adopt emerging technologies to drive efficiency, enhance cybersecurity, and expand capabilities. The adoption of emerging technologies should focus on improvement of customer experience by streamlining processes through automation as well as providing customised services where needed or preferred.



5. Industry Architecture

5.1 For the quarter ended 31 March 2022, there were 12 registered life assurers and 4 registered life re-assurers under the supervision of the Insurance and Pensions Commission (IPEC).

5.2 Heritage Life failed to submit returns for first quarter 2022.

5.3 Life assurers had 1 382 agents comprising both corporate agents and individual agents as shown in table two (2) below:

Table 4: Distribution of Agents, Staff and Branches across Life Assurers

LIFE ASSURANCE INDUSTRY STRUCTURE					
Name Of Company	Corporate Agents		Sole Agents		Total
	Mar-21	Mar-22	Mar-21	Mar-22	Mar-22
CBZ Life	3	3	30	35	38
Doves Life	0	0	120	192	192
Econet Life	0	0	0	0	0
Evolution Health and Life	0	0	0	0	0
Fidelity Life	0	0	46	38	38
First Mutual Life	0	0	220	220	220
Nhaka Life	1	1	11	18	19
Heritage Life	0	0	11	0	0
Nyaradzo Life	7	9	313	345	354
Old Mutual Life	13	13	177	142	155
ZB Life	0	0	153	149	149
Zimnat Life	0	0	220	217	217
Total	24	26	1332	1356	1382

***Heritage Life failed to submit its returns for Q1 of 2022*

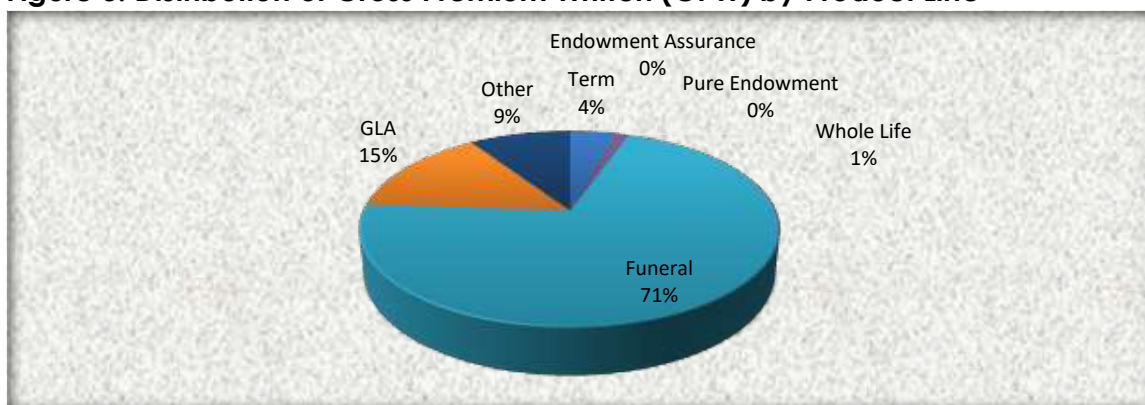
5.4 As at 31 March 2022, the number of agents for the Life Assurance Sector increased by 50 agents from 1332 agents reported as at 31 March 2021 to 1382 agents reported as at 31 March 2022.

6. Performance in Terms of Gross Premium Written

- 6.1 For the quarter ended 31 March 2022, Gross Premium Written by direct life assurers grew by 89% in nominal terms from ZW\$3.42 billion recorded for the quarter ended 31 March 2021 to ZW\$6.47 billion for the current reporting period.
- 6.2 Based on inflation adjusted figures, the growth in GPW was 10%. The positive real growth in GPW is attributable to an increase in premium that was higher than the rate of inflation.
- 6.3 Growth in business from life assurance products improved significantly from prior year, with a growth rate well above annual inflation rate which stood at 72.7% as at the end of March 2022.
- 6.4 The main drivers of growth in GPW for the quarter ended 31 March 2022 were Funeral and Group Life assurance business, which contributed 71 percent of the total premium.
- 6.5 Figure 3 below shows the distribution business written by product line.



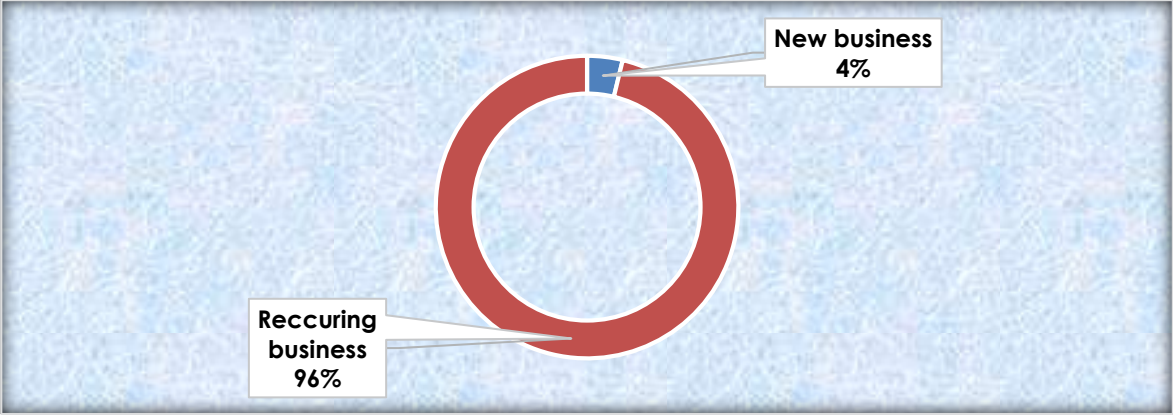
Figure 3: Distribution of Gross Premium Written (GPW) by Product Line



Breakdown by Product

- 6.6 In terms of business composition, 71% of the total Gross premium written was generated from funeral business.
- 6.7 Funeral assurance policies continue to dominate life assurance product lines because of their defined benefit nature.
- 6.8 Traditional life assurance products which include term assurance, endowment policies, pure endowment and whole of life, continues to account for a small proportion of business generated by life assurers.
- 6.9 This reflects low appetite for traditional life assurance products by the market.
- 6.10 The Commission continues to encourage all players to be innovative and align traditional life assurance products to policyholders' expectations in terms of value preservation and relevance.
- 6.11 This is very important given the legacy issues regarding loss of value suffered by policyholders on pre- 2009 policies and the recent loss of value arising from the depreciation of the local currency.
- 6.12 The Life Assurance Sector's GPW for the quarter ended 31 March 2022 was skewed towards recurring business, which accounted for 96% of total business written. Figure 4 below shows distribution of business by source.

Figure 4: Business Composition for Life Assurers as at 31 March 2022



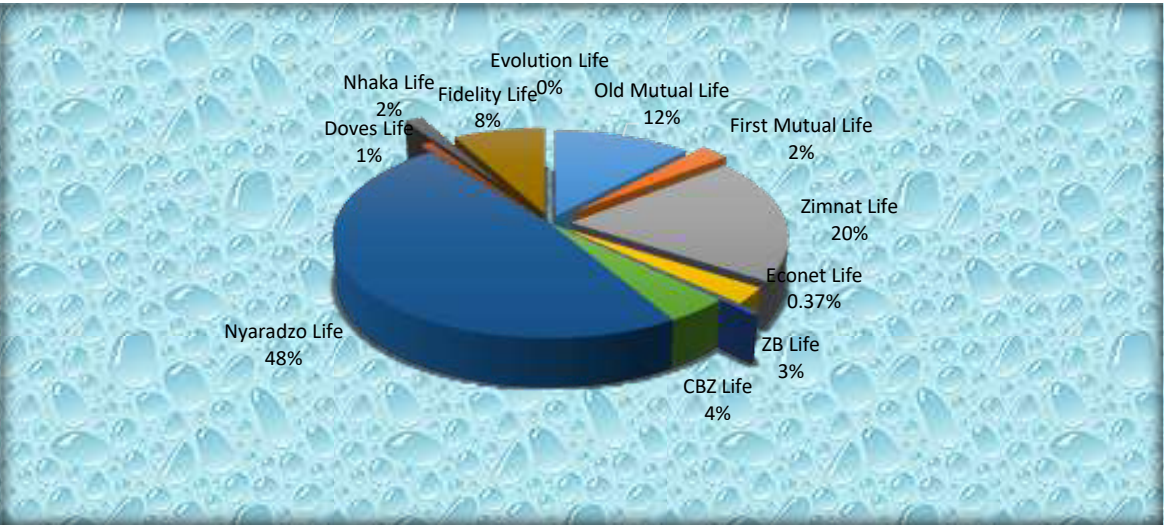
6.13 The low GPW generated from new business reflects the prevailing volatile macro-economic environment which limits the uptake of new life assurance policies due to continued decreasing of disposable incomes.

Foreign Currency Business

6.14 For the quarter ended 31 March 2022, the life assurance sector wrote foreign currency business amounting to USD3.7 million.

6.15 The breakdown of the foreign currency business written by the Life assurance sector is shown in figure 5 below:

Figure 5: Distribution of Foreign Currency Business (GPW) as at 31 Mar 2022



7. Not Taken Up (NTU) Policies as at 31 March 2022

7.1 As at 31 March 2022, the Life Assurance Sector reported a total of 147,053 not taken up (NTU) policies with a total nominal gross premium of ZW\$81.39 million (See Table 5 below).

Table 5: Not Taken Up Policies

Company	Number of Policies	Nominal Gross Premium \$(000)
Nyaradzo	-	-
Nhaka	364	1,068
Evolution	-	-
Doves	-	-
Old Mutual	101	143
Zimnat	2,303	4,868
CBZ	1,256	891
First Mutual	23	37
Fidelity	44	92
ZB	1,494	1,154
Econet	141,468	73,139
Total	147,053	81,391

7.2 The premium lost due to Not Taken Up (NTU) policies is significant, considering the value of new business of ZW\$258.86 million reported in the current reporting period.



Lapsable Policies

7.3 For the quarter ended 31 March 2022, the sector had a total of 2.12 million lapsable policies. A total of 117,496 policies lapsed during the quarter ended 31 March 2022, translating to a lapse ratio of 7.90%.

7.4 The lapse ratio of 7.90% is lower than the lapse ratio of 10.10% recorded for the comparative period ended 31 March 2021.

Table 6: Lapse ratios as at 31 March 2022

Company	Number of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (EB /Corporates)	Lapse Ratio
Nyaradzo	562,575	13,822	2,375	2.88%
Nhaka	1,908	293	2200.00%	16.51%
Evolution	-	-	-	0.00%
Doves	-	-	-	0.00%
Old Mutual	79,933	-	-	0.00%
Zimnat	61,815	4,243	-	6.86%
CBZ	53,359	2,174	-	4.07%
First Mutual	187,986	4,282	11,775	8.54%
Fidelity	199	116	-	58.29%
ZB	20,926	1,595	-	7.62%
Econet	1,043,534	121,991	-	11.69%
Total	2,119,124	149,885	17,611	7.90%

***Heritage Life failed to submit its returns*



8. Capitalisation

- 8.1 Adequate capitalisation is crucial for resilience of the Life Assurance Sector and policyholder protection in times of financial distress.
- 8.2 As at 31 March 2022, all the 11 primary life assurers, which submitted their returns, reported capital positions that were compliant with the MCR of ZW\$75 million (see table 7 below):

Table 7: Trends in the Capital Positions for Life Assurance Companies

Company	Capital Position Trend ZWL(000)	
	2022 Q1	2021 Q4
CBZ	1,081,486	378,585
Doves**	3,185,014	1,776,656
Econet	2,598,784	661,292
Evolution	382,302	334,609
Fidelity	216,527	740,535
First Mutual	3,916,822	4,051,069
Nhaka	147,047	79,250
Heritage	N/A	N/A
Nyaradzo	8,646,756	8,603,686
Old Mutual	42,246,418	30,745,826
ZB	2,097,997	1,450,121
Zimnat	1,253,781	1,336,190
Total	65,772,934	50,157,819

- 8.3 All players are encouraged to continuously carry out Capital Self-Assessments in line with the provisions of Statutory Instrument 95 of 2017 and players are also required to submit ZICARP framework Dry Runs.

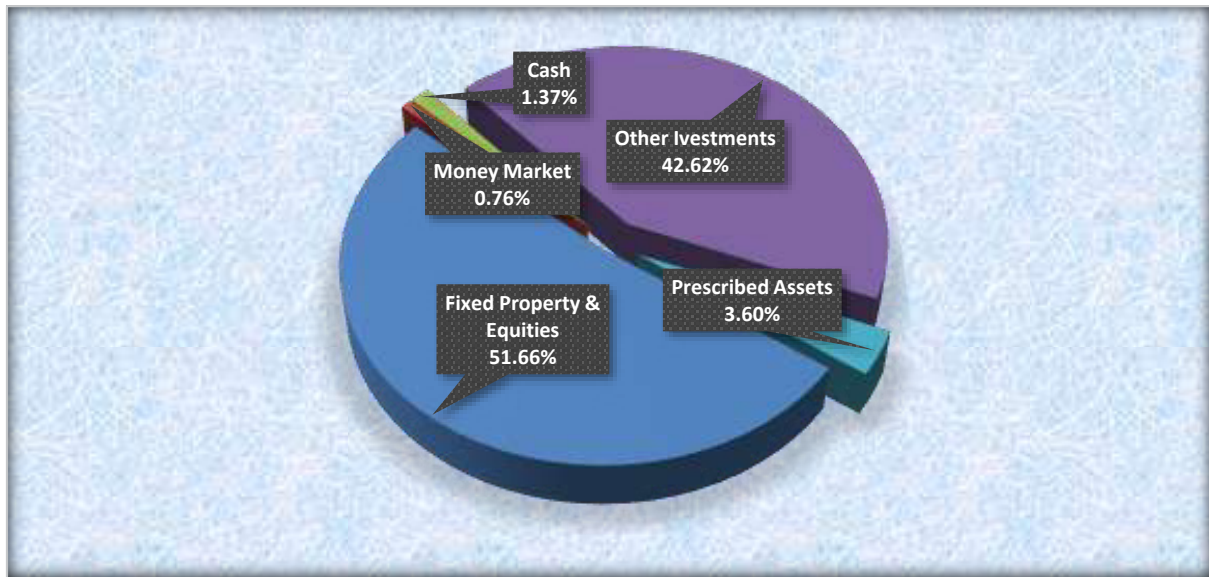
9. Asset quality

- 9.1 As at 31 March 2022, the sector reported nominal total assets amounting to ZW\$114.14 billion which represents a growth of 27% from ZW\$90.08 billion reported as at 31 December 2021.
- 9.2 The growth in the Sector's assets was mainly driven by increase in values of quoted equities on the Zimbabwe Stock Exchange and increases in value of properties.
- 9.3 The increase in the value of Equities was attributable to the bull-run on the Zimbabwe Stock Exchange (fair value adjustments) while the increase in the value of Fixed Properties was on account of property revaluations.
- 9.4 Fixed Properties and Equities constituted 51.66% of the total assets for Life Assurers. Concentration of the Sector's assets in long term investments reflects the general nature of liabilities for the Life Assurance Sector which are long term in nature.
- 9.5 In terms of asset allocation, the Sector was non-compliant with investment guidelines as prescribed in Circular 1 of 2013.
- 9.6 It is a requirement that players in the Life Assurance Sector continuously adhere to the requirements of Circular 1 of 2013 and align their investment policies to the dictates of the Circular and their liability profiles.



9.7 Figure 6 below shows the asset breakdown for the Life Assurance Sector for the quarter ended 31 March 2022.

Figure 6: Assets Breakdown as at 31 March 2022



**Other investments below include plant and equipment, receivables, deferred tax assets, technical assets, deferred acquisition costs and unquoted shares*

Prescribed Assets

9.8 Nine (9) out of the eleven (11) life assurance players, which submitted returns, reported Prescribed Asset ratios that were below the minimum required threshold of 15% of total assets.

9.9 Nhaka and Fidelity Life Assurance Companies reported 43.71% and 16.33% in Prescribed Asset investments respectively. The two players were the only two entities, who complied with the minimum Prescribed Asset investment requirement of 15% of total assets.

9.10 For the quarter ended 31 March 2022, the total investments in Prescribed Assets by the Life Assurance Sector amounted to ZW\$4.11 billion translating to a Sector compliance level of 3.60%.

9.11 Prescribed Assets investments are an important resource mobilisation tool for funding Projects of National interests that helps to foster socio-economic development.

9.12 The Commission is continuously engaging the Life Assurance entities to develop Prescribed Asset Compliance Plans and invest in Projects that

9.12 The Commission is continuously engaging the Life Assurance entities to develop Prescribed Asset Compliance Plans and invest in Projects that can be accorded Prescribed Asset Status as a way of ensuring compliance.

10. Reassurance

10.1 As at 31 March 2022, direct life assurers wrote business amounting to ZW\$6.47 billion in gross premium. The industry ceded ZW\$179.74 million, translating to a Reassurance Ratio of 2.78%.

10.2 The Reassurance Ratio for the Life Assurance Sector continues to remain low. The Commission therefore calls for sector players to fully embrace Reassurance as a Risk Management Tool that helps to protect their balance sheets.

10.3 Re-assurance is also important as a Risk Management Tool that is very helpful, especially during periods of high claims experience.

11. Earnings

11.1 In nominal terms, total profit after tax for Life Assurers decreased by 5% from ZW\$5.14 billion for the quarter ended 31 March 2021 to ZW\$4.88 billion for the current reporting period.

11.2 This translates to an inflation adjusted decrease of 45%, indicating that the sector recorded a negative real growth in profit after tax.

11.3 Decrease in profitability was mainly due to significant increases in transfer to policyholder reserves and operating expenses against nonproportionate increase in premiums.

11.4 The Combined Ratio for the Life Assurance Sector increased from 71.82% for quarter ended 31 March 2021 to 88% for the comparable period in 2022 (See annexure 1), indicating a decrease in underwriting profit.

11.5 This position is after adjusting for transfer to reserves, which were very significant for the quarter under review.

12. Liquidity

12.1 For the quarter ended 31 March 2022, the Life Assurance Industry reported a total of ZW\$10.56 billion in terms of current assets compared to ZW\$5.26 billion reported for the period ended 31 December 2021.

12.2 Current liabilities amounted to ZW\$36.54 billion translating to negative working capital of ZW\$25.98 billion for the period under review.

12.3 The Life Assurance Sector's average Current Ratio was 29% as at 31 March 2022 showing insufficient liquidity to cover short-term contractual obligations as they fall due.

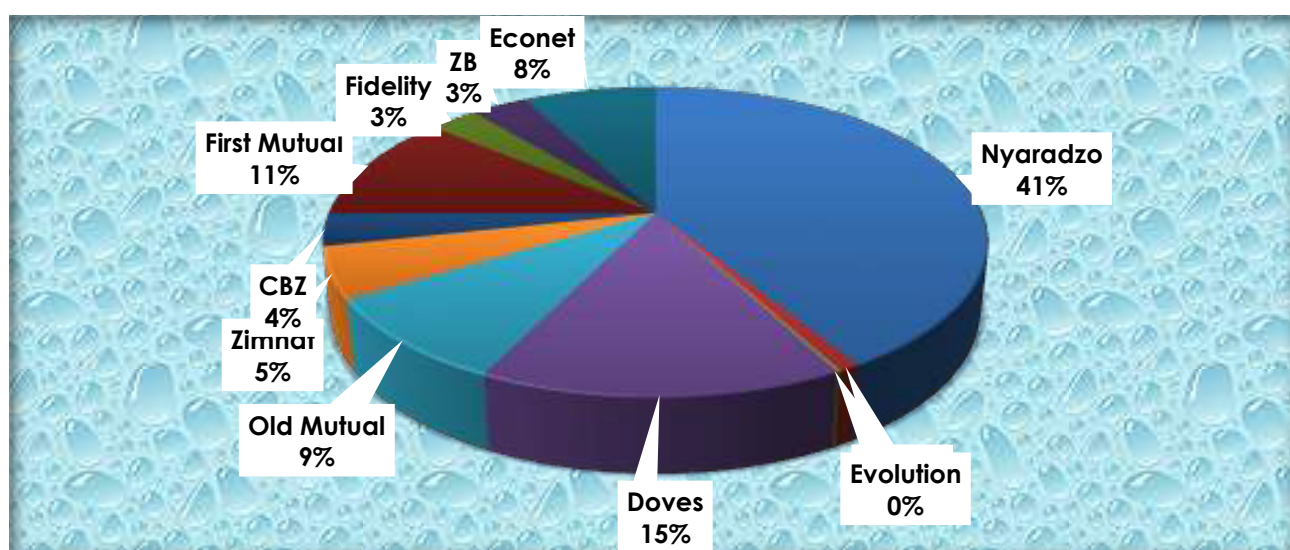
13. Market Share

13.1 For the quarter ended 31 March 2022, two players dominated the sector with a total market share of 56% while the remaining players shared the balance.

13.2 The Market Leaders in terms of GPW are mainly those players whose business portfolio is dominated by funeral assurance business, which highlights the dominance of funeral assurance business in the Life Assurance Industry.

13.3 Figure 7 below shows the market share distribution for the Life Assurance Sector in terms of GPW:

Figure 7: Market Share in terms of GPW as at 31 March 2022

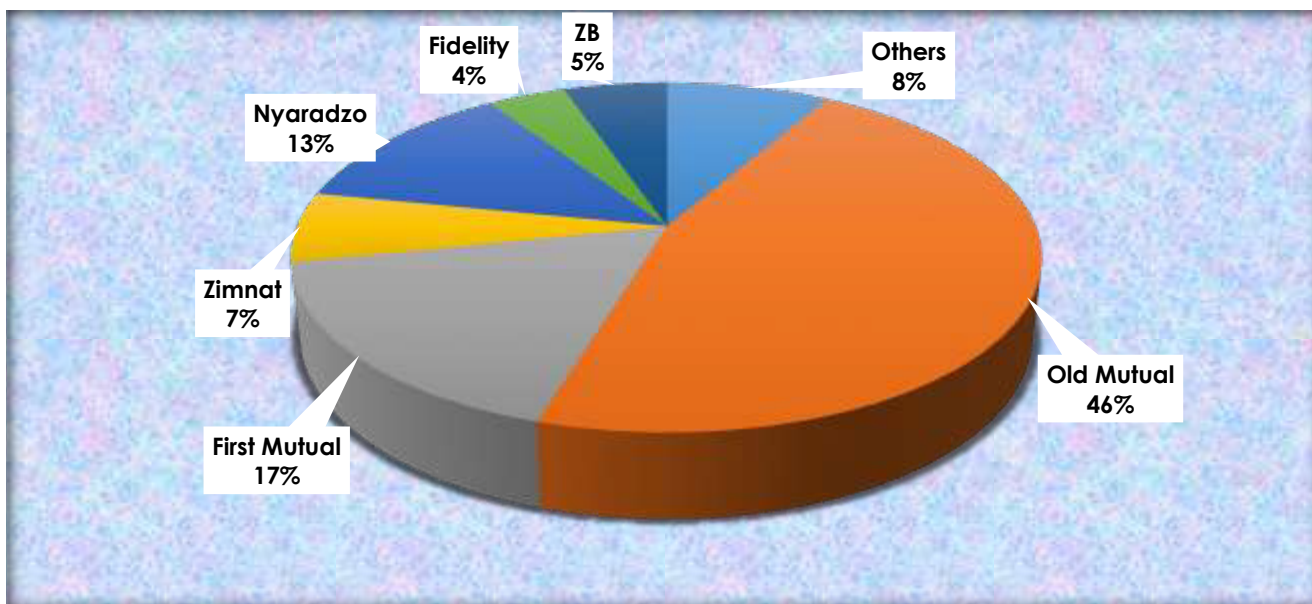


**Heritage Life did not submit the returns for the quarter*

13.4 One player continues to dominate the Sector with a share of 46% of total assets while the remaining players shared the remaining 54%.

13.5 Figure 8 below shows the distribution of assets by entity.

Figure 8: Distribution of Assets by Life Assurance Players



**Other comprises Econet Life, Doves Life, Evolution Life, CBZ Life, and Nhaka Life.*

**Heritage Life did not submit the returns for the quarter.*



14. Nature of the Reassurance Business

- 14.1 While all reinsurers are authorised to write both life and non-life business, the statistics presented in this section only pertain to the composite reinsurers' life assurance business except for their capital positions which comprise both life and non-life position.
- 14.2 Please note that the figures for Zep-Re only relate to the company's Zimbabwe Regional Hub Office.
- 14.3 The Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

15. Performance in terms of Business Written

- 15.1 The volume of life reassurance business written, in terms of Gross premium written (GPW), increased by 316% in nominal terms from ZW\$64.13 million reported for the quarter ended 31 March 2021 to ZW\$266.67 million for the quarter ended 31 March 2022 (See Table 8 below).
- 15.2 The growth was attributable to an increase in Group Life Assurance business and premiums in response to the rising inflation.
- 15.3 In real terms, the sector experienced a growth of 141% to inflation adjusted GPW of ZWL\$154.41 million.
- 15.4 The Life Reassurance Companies reported Foreign Currency business amounting to USD\$551,518 for the quarter ended 31 March 2022.

Table 8: Breakdown of GPW for Reassurers

Company Name	Q1 2022 Total Premium (000)	Q1 2021 Total Premium (000)	2022 Q1 (Inflation adjusted ZWL\$000)	Real Growth after inflation adjustment	Nominal Growth (%)
First Mutual Reinsurance	14,273	8,340	8,265	-1%	71%
FBC Reinsurance	56,264	13,296	32,579	145%	323%
Baobab Reinsurance	157,489	37,370	91,192	144%	321%
ZEP Reinsurance	38,643	5,120	22,376	337%	655%
Total	266,669	64,126	154,412	141%	316%

16. Capitalisation

16.1 As at 31 March 2022, all four composite Reassurers reported capital positions that were compliant with the MCR of ZW\$112.5 million (see Table 9 below).

16.2 Adequate capitalisation is crucial for resilience and the protection of the underlying policyholders' contracts with direct life assurers.

16.3 All players are encouraged to continuously carry out own Capital Self-Assessments in line with the provisions of Statutory Instrument 95 of 2017 and the ZICARP Framework.

Table 9: Trend in the Capital Position for Composite Reassurers

Company Name	Capital (Net Assets) Mar 2022 (ZW\$ 000)	Capital (Net Assets) Dec 2021 (ZW\$ 000)
First Mutual Reinsurance	228,844	168,377
Emeritus Reinsurance	1,344,658	888,138
FBC Reinsurance	966,701	1,063,338
ZEP Reinsurance	161,540	116,074
Totals	2,701,743	2,235,927

**Please note, the capital positions above comprises of both life and non-life reinsurance business (Composite Reassurance Business).*

17. Asset Quality

17.1 Total assets for Life Reassurers amounted to ZW\$4.58 billion as at 31 March 2022, a 24% increase from ZW\$3.69 billion reported as at 31 December 2021.

17.2 The growth in total assets was mainly due to the general increase in asset values on account of significant fair value adjustments and revaluations.

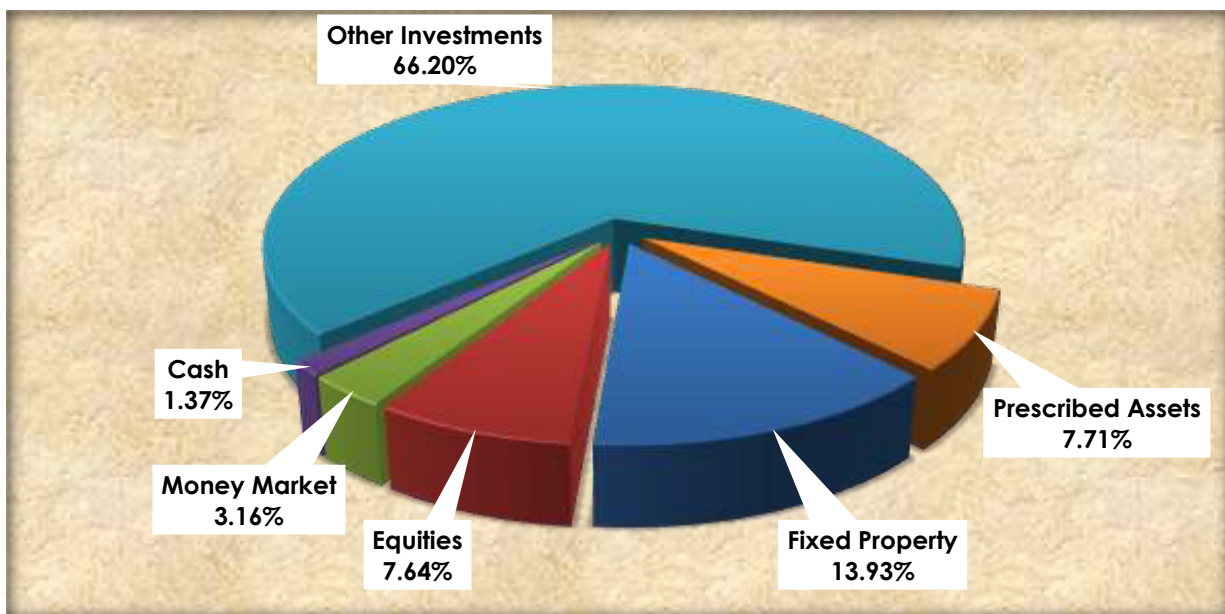
17.3 Other investments constituted 66.02% of the total assets whereas fixed property constituted about 13.93%.

17.4 Liquid assets such as money market instruments and cash constituted only 4.53% of the total assets.

17.5 The Sector players are urged to hold adequate liquidity for settling claims given that the sector mainly writes short-term insurance contracts covering the risk of Life Assurance Company. However more investments in long-term assets reflect sound management decision in preserving value of policyholders amid the unfavourable investment performance from money markets in this inflationary operating environment.

17.6 Under the current inflationary environment, Sector players are encouraged to invest in value preserving assets to protect policyholder funds.

Figure 9: Life Reassurers' Total Assets



**Other investments below include plant and equipment, deferred tax asset, deferred acquisition costs and unquoted shares.*

Prescribed Assets

- 17.7 As at 31 March 2022, three (3) out of the four (4) Life Reassurance players reported Prescribed Asset Ratios that were below the minimum required threshold of 15% of total assets.
- 17.8 Total investments in Prescribed Assets by the Life Reassurance Sector amounted to ZW\$ 353.15 million translating to a compliance level of 7.71%.
- 17.9 Prescribed Assets investments are an important resource mobilisation tool for funding Projects of National interests to foster socio-economic development.
- 17.10 The non-compliant Life Reassurers were urged to develop Prescribed Asset Compliance Plans before and the Commission is closely monitoring the implementation of these compliance plans.

Table 10: Prescribed Assets Ratios for Reassurance Sector Players.

Reinsurer	Prescribed asset Investments ZWL(000)	Total assets ZWL(000)	Prescribed asset ratio %	Amount required to be compliant ZWL(000)	Variance in compliance%
First Mutual Reinsurance	19,673	242,838	8.10%	16,753	7%
FBC Reinsurance	283,922	2,946,148	9.64%	158,000	5%
Baobab Reinsurance	2,000	1,176,273	0.17%	174,441	15%
ZEP RE- Insurance	47,557	217,118	21.90%	-	0%
Total	353,152	4,582,377	7.71%	334,205	7.3%

18. Earnings

18.1 For the quarter ended 31 March 2022, the Life Reassurance Sector's profit after tax increased by 549% from ZW\$30.7 million reported for the quarter ended 31 March 2021 to ZW\$199.11 million for the current reporting period.

18.2 In real terms, profit after tax for the Life Reassurers increased by 276% to ZW\$115.29 million for the quarter ended 31 March 2022.

18.3 The increase in profit after tax is mainly attributed to significant increases in investments income, as well as significant increases in the fair value adjustments in assets.

18.4 In terms of underwriting profits, the Reassurance Sector recorded profit of ZW\$74.47 million. The underwriting profit was mainly driven by high premium income, because of increases in the amount of Group Life Assurance business from direct Life Assurers and a reduction in claims and commission costs in real terms.

18.5 The Life Reassurance Sector had a combined ratio of 70% for the quarter ended 31 March 2022.

18.6 The Commission encourages all the players to employ prudent cost cutting measures and widen their premium income streams to continue improving their Combined Ratios.



19. Liquidity

19.1 As at 31 March 2022, the Life Reassurance Industry reported current assets amounting to ZW\$2.21 billion.

19.2 Current liabilities amounted to ZW\$1.85 billion translating to working capital of ZW\$366.38 million as at 31 March 2022.

19.3 The Life Reassurance Sector's average current ratio was 120% as at 31 March 2022 showing sufficient liquidity to cover short-term contractual obligations as they fall due.

19.4 Though liquidity for the Sector has significantly increased, it is imperative for the Sector to continue holding enough current assets to cover its current liabilities.



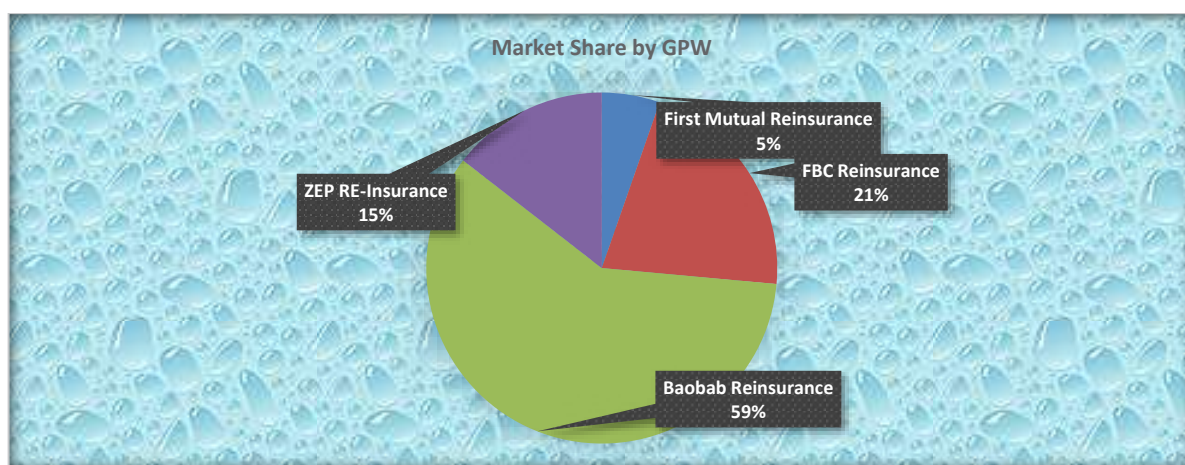
20. Market Share

Market Share in terms of GPW

20.1 GPW for the Life Reassurance Sector remains concentrated in one player, controlling a market share of 59% while the remaining 3 players controlled the remaining 41%.

20.2 The breakdown of the market share of Sector Players in terms of GPW is shown in Figure 10 below:

Figure 10: Market Share by Gross Premium Written

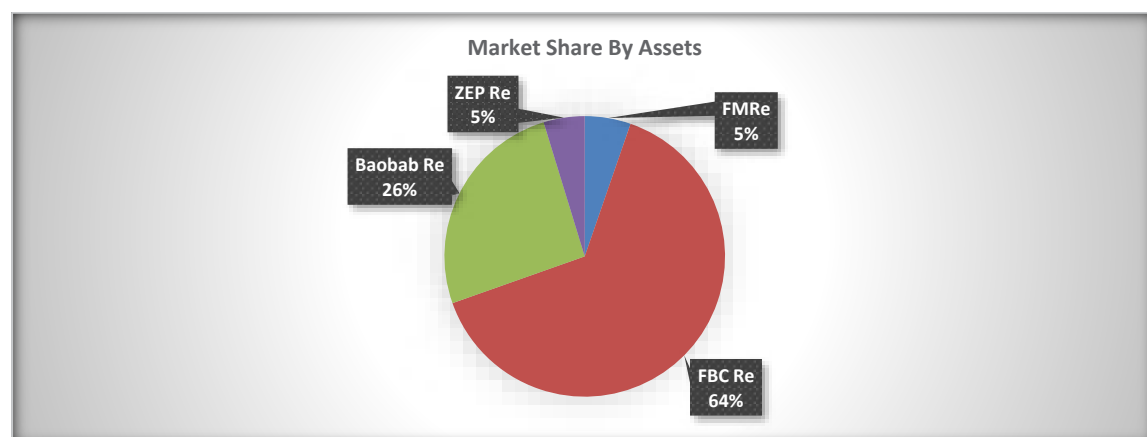


Market Share in terms of Total Assets

20.3 In terms of total assets, one player controlled 64% of the total assets, while the remaining 3 players controlled 44% of the sector total assets.

20.4 Breakdown of Sector Assets by Players is shown in Figure 11 below.

Figure 11: Market Share Distribution in Terms of Total Assets



21. Complaints

21.1 During the quarter under review, the Commission received 21 Life Assurance complaints, and of these complaints 7 complaints were resolved while 14 are still outstanding. The major source of complaints is low value benefits on pre-2009 policies, constituting 48 percent of the complaints, while repudiation of claims constituted the remaining 38 percent.

Nature of complaints	Number of complaints	% of total
Repudiation of claims	8	38%
Unsatisfactory service offered	1	5%
Low values pay-outs (2009 policies)	10	48
Referred to other regulators	2	9%
Total	21	100%

21.2 The Commission underscores the need for Life Assurers to engage and educate their clients regularly. Players are also encouraged to be transparent and always provide adequate information about the policies that they offer and the claims procedure thereof, to reduce incidences of complaints.



22. Conclusion

22.1 The Commission encourages the life assurance sector to strive to comply with all Regulatory Requirements, Statutes, Directives, Guidelines, and Circulars on an ongoing basis.

22.2 Sector players are also encouraged to be highly innovative in terms of both product development as well as realignment of their business models to adapt to the unfolding realities in the market environment.

22.3 The Commission underscores the need for Sector players to continuously strengthen their balance sheets, to withstand exogenous shocks that can have a negative effect on their financial stability.



ANNEXURE 1: STATEMENT OF COMPREHENSIVE INCOME FOR LIFE ASSURERS FOR THE QUARTER ENDED 31 MARCH 2022

	Nyaradzo Life Assurance	Nhaka Life Assurance	Evolution Life Assurance	Doves Life Assurance	Old Mutual Life Assurance	Zimnat Life Assurance	CBZ Life Assurance	First Mutual Life Assurance Company	Fidelity Life Assurance	ZB Life Assurance	Econet Life Assurance	Totals
Gross Premium Written	2,672,167,701	56,175,339	10,581,658	964,938,988	584,019,877	344,266,992	218,185,658	724,455,263	183,469,870	213,581,505	499,696,213	6,471,539,064
Outward Reassurance Premium	-	58,104	981	-	46,483,674	52,258,388	21,887,218	-	21,109,623	7,423,861	30,514,970	179,736,819
Net Premium Written	2,672,167,701	56,117,235	10,580,677	964,938,988	537,536,203	292,008,604	196,298,440	724,455,263	162,360,247	206,157,644	469,181,243	6,291,802,245
Unearned Premiums	-	1,010,131	30,999	-	2,940,034	9,692,977	-	-	-	-	6,348,061	20,022,203
Net Earned Premium	2,672,167,701	55,107,104	10,549,678	964,938,988	534,596,169	282,315,627	196,298,440	724,455,263	162,360,247	206,157,644	462,833,182	6,271,780,043
Claims Paid	1,293,670,900	3,578,292	1,997,889	172,866,039	373,317,251	100,070,366	33,291,258	106,503,937	97,947,110	45,290,708	141,356,961	2,369,890,710
Claims Outstanding	-	-	-	-	-	-	7,026,680	-	-	1,272,568	11,302,006	3,002,757
Claims Incurred But Not Reported	-	12,809	740,647	-	133,533,046	-	-	-	-	-	7,038,013	141,324,516
Unexpired Provision	-	-	-	-	-	-	-	-	-	-	-	-
Change in provision for investment	-	71,945,382	-	-	6,185,325,095	-	-	733,022,985	-	-	-	5,524,247,492
Change in provision for insurance	-	-	-	-	2,732,405,465	-	-	(1,597,783,188.17	-	-	-	2,732,405,465
Transfer to Policyholder Funds	119,727,064	-	-	-	-	-	-	-	-	190,017,342	-	309,744,406
Net Claims	1,413,397,965	75,536,483	2,738,536	172,866,039	9,424,580,857	100,070,366	26,264,577	106,503,937	97,947,110	234,035,481	159,696,980	11,813,638,331
Management Expenses	985,056,710	1,749,537	-	301,478,342	40,993,146	142,958,059	-	-	-	74,645,081	-	1,546,880,875
Net Fees and Commission Paid	293,097,822	2,537,779	2,458,795	42,341,459	2,157,502	51,559,229	18,096,534	20,296,403	7,287,070	32,966,340	332,500	473,131,432
Underwriting Profit/(Loss)	- 19,384,795	- 24,716,695	5,352,346	448,253,148	- 8,933,135,336	- 12,272,027	151,937,329	597,654,923	57,126,067	- 135,489,258	302,803,702	- 7,561,870,596
Fair value adjustments (positive)	-	108,322,975	-	-	10,556,635,866	264,145,047	187,149,598	175,013,344	149,040,339	177,088,795	881,559,592	12,498,955,555
Dividend income	7,938,752	-	-	-	3,397,658	-	141,039	8,774,502	25,443	8,409,065	96,119	28,782,578
Rental income	976,601	-	-	10,311,984	211,742,338	33,903,182	1,527,460	-	927,178	4,437,287	1,406,299	265,232,328
Other Income	26,729,768	- 6,675,292	-	338,851	7,148,751	415,994,533	2,457,402	-	746,012	- 1,512,517	381,575	445,609,083
Other Income2	277,087,815	335,814	-	-	-	1,534,825	1,011,342	-	-	2,632,397	2,708,539	285,310,733
Other Income3	-	16,604	-	-	-	26,547,304	-	-	11,727,606	-	-	38,291,514
Other Income4	-	-	-	-	-	-	-	-	89,122,690	-	-	89,122,690
Other Income5	-	-	-	-	-	-	-	-	422,570	-	-	422,570
Administrative Expenses	172,961,782	41,133,891	2,991,872	-	63,582,321	67,448,907	88,550,169	298,958,005	70,675,704	34,999,057	291,757,608	1,133,059,315
Fair value adjustments (negative)	- 225,255	-	-	-	-	-	-	-	-	-	-	- 225,255
Other Expenses1	-	-	3,197,262	-	80,991,930	552,451,296	-	-	-	-	7,239,189	643,879,677
Other Expenses2	-	-	-	-	-	-	-	-	-	-	41,215,421	- 41,215,421
Other Expenses3	-	-	-	-	-	-	-	-	9,498,855	-	-	9,498,855
Other Expenses4	-	-	-	-	-	-	-	-	135,826	-	-	135,826
Other Expenses5	-	-	-	-	-	-	-	-	-	-	-	-
Earnings Before Interest and Taxation	120,611,614	36,149,515	- 836,789	458,903,983	1,701,215,025	109,952,661	255,674,001	1,080,400,774	228,827,520	20,566,713	931,174,449	4,942,639,466
Interest	3,659,197	-	-	-	-	-	63,212	3,390,081	5,742	2,568,570	875,448	10,562,251
Interest expense	-	-	-	3,263,010	-	-	3,553	-	5,278,476	-	2,824,776	11,369,814
Earnings Before Tax	124,270,810	36,149,515	- 836,789	455,640,973	1,701,215,025	109,952,661	255,733,661	1,083,790,855	223,554,786	23,135,283	929,225,121	4,941,831,903
Taxation	30,719,744	-	-	-	-	8,266,913	-	666,453	16,112,416	15,124,936	3,399,254	72,956,810
Earnings After Tax	93,551,066	36,149,515	- 836,789	455,640,973	1,701,215,025	101,685,748	255,733,661	1,084,457,308	207,442,370	8,010,347	925,825,867	4,868,875,093
Other Comprehensive Income	-	-	-	-	-	-	10,909,283	-	-	-	-	10,909,283
Other Comprehensive Income2	-	-	-	-	-	-	-	-	-	-	-	-
Other Comprehensive Income3	-	-	-	-	-	-	-	-	-	-	-	-
Total Comprehensive Profit/(Loss) for the Period	93,551,066	36,149,515	- 836,789	455,640,973	1,701,215,025	101,685,748	255,733,661	1,084,457,308	219,469,270	8,010,347	925,825,867	4,880,901,993
Total Comprehensive Profit/(Loss)	93,551,066	36,149,515	- 836,789	455,640,973	1,701,215,025	101,685,748	255,733,661	1,084,457,308	219,469,270	8,010,347	925,825,867	4,880,901,993

ANNEXURE 2: STATEMENT OF FINANCIAL POSITION FOR LIFE ASSURERS AS AT 31 MARCH 2022

	Nyaradzo Life Assurance	Nhaka Life Assurance	Evolution Life Assurance	Doves Life Assurance	Old Mutual Life Assurance	Zimnat Life Assurance	CBZ Life Assurance	First Mutual Life Assurance Company	Fidelity Life Assurance	ZB Life Assurance	Econet Life Assurance	TOTALS
Non-Current Assets												
Intangible Assets	-	-	-	-	-	15,739,221	-	-	18,403,534	2,770,664	-	36,913,419
Property and Equipment	9,532,135,086	4,193,596	5,897,965	897,824,958	160,652,154	20,308,797	231,668,060	-	109,264,103	93,511,798	92,904,830	10,929,833,142
Investment Property	419,700,429	45,500,000	165,715,650	1,843,620,000	3,103,655,186	2,797,940,000	718,045,500	47,485,469	1,061,050,724	453,311,500	508,300,000	11,164,324,458
Investments: Quoted equities	1,374,527,482	-	3,430,962	107,192,152	43,366,487,994	2,581,646,798	629,442,796	6,127,020,488	656,811,587	589,578,900	1,949,045,005	57,385,184,162
Unquoted equities	699,446,819	103,407,200	204,897,915	2,930,440	1,438,416,731	734,062,562	131,331,511	592,572,794	2,464,881,078	784,589,855	187,769,216	7,344,306,121
Bonds	-	-	-	4,222	244,128,985	51,159,403	-	41,432,636	30,700,362	33,325,320	32,762,836	433,513,764
Deferred tax asset	-	-	-	-	-	-	-	-	-	-	-	-
Deferred acquisition costs	-	-	-	-	-	-	-	-	-	-	-	-
Other Non-Current Assets1	-	147,744,000	9,137,300	-	-	57,765,922	-	12,009,437,791	-	3,983,413,612	1,006,523	16,208,505,149
Other Non-Current Assets2	-	3,842,476	-	-	-	-	-	-	-	8,608,573	260,321	12,711,370
Other Non-Current Assets3	-	-	-	-	-	1,825,989	-	-	-	-	-	1,825,989
Total Non-Current Assets	12,025,809,816	304,687,272	389,079,792	2,851,571,772	48,313,341,050	6,260,448,691	1,726,471,242	18,817,949,179	4,122,583,182	5,949,110,223	2,838,237,282	103,599,489,500
Current Assets												
Premium Receivable	-	183,344	-	6,582,431	1,266,786	23,371,245	6,768,271	168,660,211	6,118,426	-	23,376,153	236,326,867
Money market investments	75,261,860	-	-	-	387,927,465	77,962,281	23,037,403	93,544,672	-	60,951,230	22,607,684	741,292,595
Short term investments	-	361,020	5,000	940,830	-	294,307,958	-	-	-	-	-	295,614,808
Other receivables	744,079,034	2,491,675	-	37,605,583	-	396,271,672	-	51,951,160	322,968,842	30,015,300	617,399	1,586,000,445
Cash and Bank Balances	322,909,157	22,849,299	990,575	137,537,154	705,200,681	322,010,829	113,622,165	162,829,148	116,770,235	16,512,462	73,395,932	1,994,627,438
Other Current Assets1	316,776,160	1,752,561	6,314,868	727,473,319	394,412,930	52,412,658	401,961	3,076,401	1,756,590	-	56,946,755	1,561,324,204
Other Current Assets2	793,781,248	5,332,538	-	-	-	-	-	84,125,438	-	-	100,530,893	1,017,983,759
Other Current Assets3	-	319,833	-	-	13,048,814	-	21,164,828	-	-	-	-	3,125,606,845
Total Current Assets	2,252,807,459	33,290,270	7,310,443	910,139,317	4,626,734,938	1,166,336,443	165,403,377	564,187,031	447,614,094	107,478,992	277,474,816	10,558,777,381
Total Assets	14,278,617,275	337,977,542	396,390,235	3,761,711,089	52,940,075,988	7,426,785,334	1,892,074,619	19,382,136,209	4,570,197,276	6,056,589,215	3,115,712,098	114,158,266,881
Liabilities												
Long (Non-Current) Liabilities												
Long Term Loans	-	-	-	19,970,874	-	19,431,915	-	-	-	-	-	39,402,789
Deferred Taxation	1,481,324,800	-	-	34,669,020	494,893,306	67,143,837	-	123,044,360	-	343,518,379	-	2,544,593,701
Future Policyholder Funds	-	-	254,420	330,374,046	-	-	-	-	-	-	-	330,628,466
Short (Current) Liabilities												
Outstanding Claims	-	870,862	-	-	188,376,690	56,238,375	3,865,858	-	-	13,937,233	11,302,006	274,591,024
Claims Incurred but not Reported	-	1,466,674	4,924,234	-	480,229,280	-	-	-	-	-	69,073,445	555,693,432
Paid up policies	-	-	-	-	-	-	-	-	-	-	-	-
Paid up policies due to death	-	-	-	-	-	-	-	-	-	-	-	-
Paid up policies due to maturity	-	-	-	-	-	-	-	-	-	-	-	-
Paid up policies due to non-payment	-	-	-	-	-	-	-	-	-	-	-	-
Investment contract liabilities	-	140,849,118	-	-	6,971,256,777	-	100,977,803	2,402,626,279	188,621,340	-	2,651,147	9,806,982,463
Insurance contract liabilities	4,150,536,277	226,659	-	-	1,119,285,631	296,661,558	-	12,536,392,415	3,733,072,202	-	60,627,570	21,896,802,311
Additional Unexpired Risk Reserve	-	-	-	-	-	-	-	-	-	-	-	-
Retrocession Arrangements	-	-	-	-	-	-	-	-	-	-	-	-
Life Fund	-	-	-	-	-	5,017,935,856	423,188,992	140,829,951	-	3,352,105,688	-	8,934,040,487
Unearned Premium Reserve	-	-	629,984	-	66,146,112	37,684,867	-	5,797,242	-	-	71,031,916	181,290,120
Amounts Due To Reinsurers	-	484,272	651	-	-	-	1,540,781	-	-	255,259	3,891,420	6,172,384
Other Short Term Liabilities												
Other Liabilities1	-	12,385,033	2,370,593	168,748,319	750,946,014	84,849,314	281,014,960	-	-	217,429,770	63,814,015	1,581,558,019
Other Liabilities2	-	34,647,514	8,606	22,934,609	44,861,137	589,860,794	-	34,459,070	8,315,583	31,345,413	197,989,260	964,421,987
Other Liabilities3	-	-	5,172,007	-	32,881,413	3,197,882	-	35,714,142	422,275,133	-	13,008,040	512,248,617
Other Liabilities4	-	-	728,054	-	-	-	-	28,173,728	1,385,986	-	21,522,673	51,810,441
Other Liabilities5	-	-	-	-	49,073,784	-	-	154,556,061	-	-	-	203,629,845
Other Liabilities6	-	-	-	-	156,505,272	-	-	3,721,244	-	-	2,016,740	162,243,256
Other Liabilities7	-	-	-	-	339,202,927	-	-	-	-	-	-	339,202,927
Total Liabilities	5,631,861,077	190,930,132	14,088,549	576,696,868	10,693,658,341	6,173,004,398	810,588,395	15,465,314,493	4,353,670,244	3,958,591,742	516,928,232	48,385,332,470
SHARE CAPITAL AND RESERVES												
Share Capital	400,000	20,200	38	1,000,000	131,844	200,000	2	7,308	1,092,059	231,908	100	3,083,458
Share Premium	-	34,804,380	2,435,318	-	29,990,000	450,000	1,388,012	41,379,892	671,409	4,431,623	5,685,251	121,235,885
Investment Reserve	-	-	-	-	-	-	-	2,014,048	-	9,217,529	-	11,231,577
Revaluation Reserve	6,347,015,356	-	376,079,413	3,701,303	-	15,186	227,462,633	-	297,955,229	122,756,109	116,917,380	7,491,902,608
Non Distributable Reserve	2,067,211,265	-	-	-	33,764,276	2,463,511	-	-	-	-	-	2,103,439,052
Retained Earnings - Prior years	(1,548,659,948.82)	76,073,315	4,623,696	2,724,671,945	30,638,645,715	1,148,966,491	-	-	202,763,890	1,953,349,958	1,550,355,269	37,893,922,499
Retained Earnings - Current year	93,551,066	36,149,515	836,779	455,640,973	11,543,885,812	101,685,748	774,470,290	3,873,420,468	-	8,010,347	925,825,867	17,811,803,308
Minority Interest	-	-	-	-	-	-	-	-	-	-	-	-
Other1	1,687,238,461	-	-	-	-	-	-	-	10,037	-	-	1,689,778,423
Other2	-	-	-	-	-	-	2,550,000	-	101,923,517	-	-	177,538,804
Other3	-	-	-	-	-	-	75,615,287	-	-	-	-	-
Other4	-	-	-	-	-	-	-	-	-	-	-	-
Other5	-	-	-	-	-	-	-	-	-	-	-	-
Other6	-	-	-	-	-	-	-	-	-	-	-	-
Other7	-	-	-	-	-	-	-	-	-	-	-	-
SHAREHOLDERS EQUITY	8,646,756,198	147,047,410	382,301,687	3,185,014,221	42,246,417,647	1,253,780,936	1,081,486,225	3,916,821,716	198,868,286	2,097,997,473	2,598,783,866	65,755,275,645
TOTAL EQUITY & LIABILITIES	14,278,617,275	337,977,542	396,390,235	3,761,711,089	52,940,075,988	7,426,785,334	1,892,074,619	19,382,136,209	4,552,538,530	6,056,589,215	3,115,712,098	114,140,608,135

ANNEXURE 3 STATEMENT OF FINANCIAL POSITION FOR LIFE REASSURERS AS AT 31 MARCH 2022

Item	First Mutual Reinsurance	FBC Reinsurance	Baobab Reinsurance	ZEP RE Insurance	Totals
Non-Current Assets					
Intangible Assets	-	-	-	-	-
Property and Equipment	187,364	86,240,395	1,302	-	86,429,061
Investment Property	-	59,553	551,665,744	-	551,725,297
Investments: Quoted equities	214,014,474	135,851,666	-	-	349,866,140
Unquoted equities	-	-	-	-	-
Bonds	-	-	-	47,557,262	47,557,262
Deferred tax asset	-	-	8,319	-	8,319
Deferred acquisition costs	-	92,153,781	-	6,433,136	98,586,917
Other Non-Current Assets1	-	-	-	-	-
Other Non-Current Assets2	-	82,926,829	-	-	82,926,829
Other Non-Current Assets3	-	1,128,256,919	26,102,000	-	1,154,358,919
Total Non-Current Assets	214,201,838	1,525,489,143	577,777,365	53,990,398	2,371,458,744
Current Assets					
Premium Receivable	4,202,514	-	-	-	4,202,514
Money market investments	761,766	143,905,064	-	-	144,666,830
Short term Investments	-	1,264,108,585	315,579,147	-	1,579,687,732
Other receivables	21,304,607	-	-	163,127,245	184,431,852
Cash and Bank Balances	2,367,017	12,645,151	47,858,743	-	62,870,911
Other Current Assets1	-	-	-	-	-
Other Current Assets2	-	-	235,057,716	-	235,057,716
Other Current Assets3	-	-	-	-	-
Total Current Assets	28,635,904	1,420,658,800	598,495,606	163,127,245	2,210,917,555
Total Assets	242,837,742	2,946,147,943	1,176,272,971	217,117,643	4,582,376,299
Liabilities					
Long (Non-Current) Liabilities					
Long Term Loans	-	-	-	-	-
Deferred Taxation	-	36,097,489	-	-	36,097,489
Future Policyholder Funds	-	-	-	-	-
Short (Current) Liabilities					
Outstanding Claims	-	-	-	561,719	561,719
Claims Incurred but not Reported	-	-	-	28,731,275	28,731,275
Paid up policies	-	-	-	-	-
Paid up policies due to death	-	-	-	-	-
Paid up policies due to maturity	-	-	-	-	-
Paid up policies due to non- payment	-	-	-	-	-
Investment contract liabilities	-	-	-	26,284,578.68	26,284,578.68
Insurance contract liabilities	401,182	-	43,038,404	-	43,439,586
Additional Unexpired Risk Reserve	-	-	-	-	-
Retrocession Arrangements	-	-	-	-	-
Life Fund	13,335,557	-	14,796,751	-	28,132,308
Unearned Premium Reserve	-	447,783,396	-	-	447,783,396
Amounts Due To Reinsurers	-	-	139,890,000	-	139,890,000
Other Short Term Liabilities	-	-	-	-	-
Other Liabilities1	-	579,828,551	-	-	579,828,551
Other Liabilities2	256,639	43,504,528	9,862,272	-	53,623,439
Other Liabilities3	-	17,639,807	1,984,989	-	19,624,796
Other Liabilities4	-	457,489,686.00	-	-	457,489,686.00
Other Liabilities5	-	19,146,807.07	-	-	19,146,807.07
Other Liabilities6	-	-	-	-	-
Other Liabilities7	-	-	-	-	-
Total Liabilities	13,993,378	1,601,490,264	209,572,416	55,577,573	1,880,633,631
SHARE CAPITAL AND RESERVES					
Share Capital	700	900,000	487,727	-	1,388,427
Share Premium	2,287,595	42,703,332	6,281,124	-	51,272,051
Investment Reserve	-	-	-	-	-
Revaluation Reserve	-	54,551,586	-	37,801,695	92,353,281
Non Distributable Reserve	-	37,351	-	-	37,351
Retained Earnings - Prior years	166,347,506	53,660,149	954,097,402	116,070,138	1,290,175,195
Retained Earnings - Current year	60,208,563	125,445,095	5,834,302	7,668,236	199,156,196
Minority Interest	-	-	-	-	-
Other1	-	1,067,360,166	-	-	1,067,360,166
Other2	-	-	-	-	-
Other3	-	-	-	-	-
Other4	-	-	-	-	-
Other5	-	-	-	-	-
Other6	-	-	-	-	-
Other7	-	-	-	-	-
SHAREHOLDERS EQUITY	228,844,364	1,344,657,679	966,700,555	161,540,070	2,701,742,668
TOTAL EQUITY & LIABILITIES	242,837,742	2,946,147,943	1,176,272,971	217,117,643	4,582,376,299

ANNEXURE 4 STATEMENT OF COMPREHENSIVE INCOME FOR LIFE REASSURERS FOR THE QUARTER EDNDED 31 MARCH 2022

	First_Mutual_Reinsurance	FBC_Reinsurance	Baobab_Reinsurance	ZEP_RE-Insurance	Totals
Gross Premium Written	14,273,337	56,264,412	157,489,391	38,642,946	266,670,085
Outward Reassurance Premium	2,700,573	2,166,155	13,839,998	1,266,547	19,973,274
Net Premium Written	11,572,764	54,098,256	143,649,393	37,376,399	246,696,812
Unearned Premiums	-	-	-	3,304,581	3,304,581
Net Earned Premium	11,572,764	54,098,256	143,649,393	34,071,818	243,392,231
Claims Paid	2,249,126	11,642,561	38,280,688	10,809,031	62,981,406
Claims Outstanding	-	-	-	113	113
Claims Incurred But Not Reported	-	-	36,266,656	5,719,748	41,986,404
Unexpired Provision	-	-	-	-	-
Change in provision for investment	-	-	-	-	-
Change in provision for insurance	-	-	-	-	-
Transfer to Policyholder Funds	-	-	-	-	-
Net Claims	2,249,126	11,642,561	74,547,344	16,528,665	104,967,697
Management Expenses	378,624	-	18,914,410	1,868,820	21,161,854
Net Fees and Commission Paid	1,763,654	7,589,562	24,956,945	8,479,851	42,790,012
Underwriting Profit/(Loss)	7,181,360	34,866,133	25,230,694	7,194,482	74,472,668
Fair value adjustments (positive)	-	135,851,666	-	-	135,851,666
Dividend income	-	-	-	-	-
Rental income	-	-	-	-	-
Other Income	192,929	-	6,233,399	-	6,426,328
Other Income2	52,834,274	-	48,698,270	-	4,136,004
Other Income3	-	-	23,068,304	-	23,068,304
Other Income4	-	-	-	-	-
Other Income5	-	-	-	-	-
Administrative Expenses	-	2,089,544	-	-	2,089,544
Fair value adjustments (negative)	-	-	-	-	-
Other Expenses1	-	-	-	-	-
Other Expenses2	-	-	-	-	-
Other Expenses3	-	-	-	-	-
Other Expenses4	-	-	-	-	-
Other Expenses5	-	-	-	-	-
Earnings Before Interest and Taxation	60,208,563	168,628,255	5,834,127	7,194,482	241,865,426
Interest	-	254,189	-	473,754	727,943
Interest expense	-	-	-	-	-
Earnings Before Tax	60,208,563	168,882,444	5,834,127	7,668,236	242,593,369
Taxation	-	43,487,229	176	-	43,487,053
Earnings After Tax	60,208,563	125,395,214	5,834,303	7,668,236	199,106,316
Other Comprehensive Income	-	-	-	-	-
Other Comprehensive Income2	-	-	-	-	-
Other Comprehensive Income3	-	-	-	-	-
Total Comprehensive Profit/(Loss) for the Period	60,208,563	125,395,214	5,834,303	7,668,236	199,106,316
Total Comprehensive Profit/(Loss)	60,208,563	125,395,214	5,834,303	7,668,236	199,106,316